

This Endorsement Changes The Policy. Please Read It Carefully.

WORDS AND PHRASES IN QUOTATION MARKS HAVE SPECIAL MEANING AS DEFINED BELOW OR IN THE FORM TO WHICH THIS ENDORSEMENT IS ATTACHED

This endorsement modifies insurance provided by form L1a, but only if indicated on the "Declarations Page" for the form.

AMOUNT AND BASIS OF DEDUCTIBLE - The amount and basis of deductible is as indicated in the "Declarations Page" for this deductible as per occurrence or per claim.

APPLICATION OF ENDORSEMENT

1. Our obligation under Property Damage Liability to pay "compensatory damages" on your behalf applies only to the amount of "compensatory damages" in excess of any deductible amounts stated in the "Declarations Page" as applicable to such coverages, and the limits of insurance applicable to each "occurrence" for Property Damage Liability will be reduced by the amount of such deductible. The **General Aggregate Limit** and **Products-Completed Operations Aggregate Limit** for such coverages shall not be reduced by the application of such deductible amount.
2. The deductible amounts stated in the "Declarations Page" apply as follows:
 - A. **PER OCCURRENCE BASIS** - if the deductible is on a **per occurrence** basis, the deductible amount applies under Coverage A - Property Damage Liability to all "compensatory damages" because of "property damage" as the result of any one "occurrence" regardless of the number of persons or organizations who sustain "compensatory damages" because of that "occurrence".
 - B. **PER CLAIM BASIS** - if the deductible is on a **per claim** basis, the deductible amount applies Under Coverage A - Property Damage Liability to all "compensatory damages" because of "property damage" sustained by one person.
3. The terms of this insurance, including those in respect to:
 - a) our right and duty to defend any "action" seeking those "compensatory damages"; and
 - b) your duties in the event of an "occurrence", claim or "action"apply irrespective of the application of the deductible amount.
4. We may pay any part or all of the deductible amount to effect settlement of any claim or "action" and, upon notification of the action taken, you shall promptly reimburse us for such part of the deductible amount as has been paid by us.

All other terms and conditions of the Policy to which this endorsement applies remain unchanged.